



Our ref: IM-72867

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16 April 2025

Dear Interested Party

Re: ACCC seeking your views: Acciona's proposed acquisition of the East Rockingham WtE project

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of the East Rockingham Waste to Energy project (**East Rockingham Project**) by Acciona, S.A. (**Acciona**) (the **proposed acquisition**).

The East Rockingham Project, located in East Rockingham, Western Australia, is currently in administration and receivership. Acciona is the Engineering, Procurement and Construction contractor and a minority equity shareholder in the East Rockingham Project. Further details are provided at **Attachment A**.

The ACCC's investigation is focused on the impact on competition. In particular, we are seeking your views on whether the proposed acquisition would likely:

- reduce competition for waste disposal services, including specifically waste to energy services, to municipal and/or commercial and industrial customers in Perth and/or Peel; and
- lead to higher prices and/or lower service quality of waste disposal services in Perth and/or Peel.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **30 April 2025** via email with the title: *Submission re: Acciona / East Rockingham Project*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the printed name.

Morag Bond
General Manager
Merger Investigations

Attachment A

The acquirer – Acciona

Acciona is a global infrastructure developer publicly listed in Spain. In Australia, Acciona has various subsidiaries and is currently developing several infrastructure projects across the transport, water and energy sectors.

Acciona holds a 10% non-controlling equity interest in the East Rockingham Waste to Energy Project (**East Rockingham Project** or **the Project**), is a creditor of the Project under a loan agreement and is the Engineering, Procurement and Construction contractor.

Acciona also owns and operates the Kwinana Waste to Energy (Kwinana WtE) facility located in Kwinana Beach in the south of Perth. It is the first utility scale facility in Australia that will process residual waste for energy recovery. It is approved to process up to 460 kt/year of residual waste and generate approximately 38MW of electricity to the grid.

The target – East Rockingham Project

The East Rockingham Project is located in East Rockingham and will process residual waste for energy recovery once operational. It is approved to process 300 kt/year of residual waste (including from municipal councils and commercial and industrial waste streams) and generate approximately 29 MW of electricity to the grid.

The Project is currently in external administration and controlled by receivers who will undertake a sale process.

Attachment B

1. Please provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the proposed acquisition including any commercial relationship(s) with **Acciona** or the **East Rockingham Project**. If applicable, please identify the service(s) that you currently or in the future will supply to, or acquire from, Acciona and/or the East Rockingham Project, or the services you offer which may compete with the services currently supplied or that will be supplied by Acciona's Kwinana WtE or the East Rockingham project.
3. Please describe how closely the East Rockingham Project would compete with Acciona's Kwinana WtE in Perth. Include a description of the likely competing services.
4. Please identify the main competitors to Acciona and/or the East Rockingham Project in the supply of putrescible waste disposal services. If relevant, explain the impact of the landfill levy on competition between landfills and WtE facilities.
5. Please outline the process, cost and time involved in establishing a new waste disposal facility (e.g. transfer station, landfill, WtE facility) in Perth and/or Peel, including regulatory requirements such as licences and environmental approvals.

Questions for current and prospective customers

6. Please identify and describe the waste disposal facilities that you currently use to dispose of putrescible waste in Perth and/or Peel, particularly those that would be an effective alternative to the Kwinana WtE. Outline the volume of waste you dispose at each facility and the price you are charged to do so, describing the relevant waste type and service. Identify if these services are obtained via a competitive tender or through other processes and if applicable, describe existing contractual arrangements (e.g. term of contract).
7. Outline the key factors you consider when choosing a waste disposal facility in Perth and/or Peel (such as price, location, service (e.g. opening hours)).
8. Explain the extent to which Acciona's ownership of the East Rockingham Project could impact pricing and/or service quality at putrescible waste disposal facilities in Perth and/or Peel.
9. Describe the extent to which you could switch between putrescible waste disposal facilities in response to a price increase and/or decrease in service levels.

Questions for operators of putrescible waste disposal facilities

10. List all putrescible waste disposal facilities you operate within Perth and/or Peel. For each of these facilities, please provide the volume of putrescible waste you received in the last financial year, broken down by customer type (e.g. municipal, commercial and industrial) where possible.
11. Please provide the annual operating capacity of each putrescible waste disposal facility you operate within Perth and/or Peel.
12. Please describe the disposal services you offer and the pricing for these services.

13. Please list your main competitors. Please indicate whether you compete for your customers via competitive tenders and/or individual price negotiations, and what factors you compete over beyond pricing.
14. Confirm whether you also offer residual/putrescible waste collection services. If so, please list the key geographical areas where this waste is collected across Perth and/or Peel.